

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR TWELVE MONTHS ENDED MARCH 31, 2020



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP
**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company	
	Apr. -Mar.		Apr. - Mar.		Jan. -Mar.		Jan. - Mar.	
	2020 (Un audited)	2019 (Audited)	2020 (Un audited)	2019 (Audited)	2020	2019	2020	2019
Revenue	280,779	426,874	278,414	423,147	45,727	137,358	45,478	136,383
Direct costs	(253,759)	(390,706)	(252,697)	(388,142)	(41,190)	(125,937)	(40,971)	(126,283)
Gross margin	27,019	36,168	25,717	35,005	4,537	11,422	4,507	10,100
Other operating income	8,550	11,218	265,435	170,513	1,863	3,196	1,863	3,189
Net gain from fair value adjustment on Investment Property	39,824	24,000	39,824	24,000	39,824	24,000	39,824	24,000
Administrative costs	(48,514)	(49,375)	(47,858)	(48,991)	(11,263)	(11,241)	(10,712)	(10,935)
Management Expenses	(40,112)	(36,050)	(40,112)	(36,050)	(8,267)	(13,492)	(8,267)	(13,492)
Depreciation	(8,698)	(4,930)	(8,698)	(4,930)	(2,179)	(1,855)	(2,179)	(1,855)
Operating profit	(21,931)	(18,969)	234,308	139,547	24,514	12,030	25,035	11,007
Finance Income	7,048	13,159	7,048	13,159	2,300	3,123	2,300	3,123
Finance costs	(9,210)	(4,351)	(9,173)	(4,090)	(2,605)	(1,687)	(2,605)	(1,644)
Profit/(Loss) before tax	(24,094)	(10,161)	232,183	148,616	24,209	13,466	24,730	12,486
Tax	-	(261)	-	-	-	(261)	-	-
Profit/(Loss) after tax	(24,094)	(10,422)	232,183	148,616	24,209	13,205	24,730	12,486
Share of results of JV	466,899	494,624	-	-	68,483	93,289	-	-
Profit/(Loss) for the period	442,806	484,202	232,183	148,616	92,692	106,494	24,730	12,486
Other comprehensive income:	-	-	-	-	-	-	-	-
Items that will not be reclassified to profit or (loss)								
Acturial gain/(loss) on retirement -benefit obligation	(766)	293	(766)	293	(766)	293	(766)	293
Share of other comprehensive - -Income/expenses from Joint Venture	(1,795)	875	-	-	(1,795)	875	-	-
Total comprehensive income - -for the period, net of tax	440,245	485,370	231,417	148,909	89,423	103,726	23,964	12,779
Earning per share (for the period)	5.51	6.02	2.89	1.85	1.15	1.32	0.31	0.16

KELANI TYRES PLC AND ITS GROUP
CONSOLIDATED STATEMENT OF FINANCIAL POSSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	31-03-2020	31-03-2019	31-03-2020	31-03-2019
	(un-audited)	(Audited)	(un-audited)	(Audited)
ASSETS				
Non-current assets				
Property, plant and equipment	41,209	50,703	41,733	50,089
Investment Property	439,824	400,000	439,824	400,000
Investments in subsidiaries	-	-	10	10
Investment in JV	4,214,338	4,007,233	139,607	139,607
	4,695,371	4,457,936	621,174	589,706
Current assets				
Trade and other receivables	334,193	443,369	333,010	443,029
Income Tax Refund	-	359	-	-
Cash and cash equivalents	194,320	39,438	192,364	38,706
	528,513	483,166	525,374	481,735
Total assets	5,223,884	4,941,102	1,146,547	1,071,441
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	971	971	971	971
Other reserves	486,636	486,636	-	-
Retained earnings	4,200,693	3,961,449	610,076	579,660
Total equity	5,090,300	4,851,056	1,013,047	982,631
Non - current liabilities				
Borrowings	20,833	-	20,833	-
Retirement benefit obligations	6,730	4,826	6,730	4,826
	27,563	4,826	27,563	4,826
Current liabilities				
Trade and other payables	15,325	11,969	15,240	11,677
Borrowings	10,000	944	10,000	-
Bank Overdraft	80,697	72,307	80,697	72,307
	106,022	85,220	105,937	83,984
Total liabilities	133,585	90,046	133,500	88,810
Total equity and liabilities	5,223,884	4,941,102	1,146,547	1,071,441
Net Asset Value Per share	63.31	60.34	12.60	12.22

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

29th May 2020

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2018 (audited)	402,000	971	-	832,751	1,235,722
Profit for the Period	-	-	-	148,616	148,616
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Mar. 2019 (Audited)	402,000	971	-	579,660	982,631
Balance at 1 April 2019 (Audited)	402,000	971	-	579,660	982,631
Profit for the Period	-	-	-	232,183	232,183
Other Comprehensive income	-	-	-	(766)	(766)
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Mar. 2020 (Un-Audited)	402,000	971	-	610,076	1,013,047

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2018 (audited)	402,000	971	486,636	3,878,079	4,767,686
Profit for the Period	-	-	-	484,202	484,202
Other comprehensive income	-	-	-	1,168	1,168
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Mar. 2019 (Audited)	402,000	971	486,636	3,961,449	4,851,056
Balance at 1 April 2019 (Audited)	402,000	971	486,636	3,961,449	4,851,056
Profit for the Period	-	-	-	442,806	442,806
Other comprehensive income	-	-	-	(2,561)	(2,561)
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Mar. 2020 (Un-Audited)	402,000	971	486,636	4,200,693	5,090,300

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Twelve months ended 31 Mar. 2020		Twelve months ended 31 Mar. 2019	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	60,972	59,902	108,720	105,569
Interest received	7,048	7,048	13,159	13,159
Interest paid	(9,210)	(9,173)	(4,351)	(4,090)
Tax paid	(41)	-	-	-
Gratuity paid	-	-	(249)	(249)
Net cash generated from (used in) operating activities	58,769	57,777	117,279	114,389
Cash flows from investing activities				
Purchases of property, plant and equipment	(343)	(343)	(35,346)	(31,846)
Dividend received	258,000	258,000	159,320	159,320
Proceeds from sale of property, plant and equipment	1,177	-	11,526	11,526
Net cash (used in)/generated from investing activities	258,834	257,657	135,500	139,000
Cash flows from financing activities				
Dividend payment	(201,000)	(201,000)	(402,000)	(402,000)
Change in Bank borrowings	29,890	30,833	(1,888)	-
Net cash (used in)/generated from financing activities	(171,111)	(170,167)	(403,888)	(402,000)
Net (decrease)/increase in cash and cash equivalents	146,493	145,267	(151,107)	(148,611)
Movement in cash and cash equivalents				
At the start of period	(32,869)	(33,601)	118,238	115,009
(Decrease)/increase	146,493	145,267	(151,107)	(148,611)
At the end of period	113,623	111,667	(32,869)	(33,601)

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (SLAS)/LKAS-34 Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2019,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2019 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	3/31/20	3/31/19	3/31/18
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	1,213,077,936
Less: Provision for Tax	(279,279,150)
Profit after Tax	933,798,786

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	3/31/20	3/31/19	3/31/20	3/31/19
Dividend received from the JV	258,000	159,320	258,000	159,320
Dividend declared & paid to shareholders - First interim	201,000	201,000	201,000	201,000
Dividend declared & paid to shareholders - Second interim	-	201,000	-	201,000
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	2.50	2.50	2.50	2.50

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the twelve months ended 31st Mar.

	2020	2019
	Rs.	Rs.
Highest Price (02/01/2020 & 12/02/2019)	48.50	39.90
Lowest Price (13/03/2020 & 11/03/2019)	32.00	30.00
Last Traded Price	33.10	30.90

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 31-03-2020

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	36,975,523	45.989
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	7,942,453	9.879
3	MR. GANARAJAH N	6,505,092	8.091
4	MR. UDESHI H M	4,132,857	5.140
5	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,736,255	2.160
6	MR. R. C. D. DE SILVA	1,733,800	2.156
7	EMPLOYEES PROVIDENT FUND	1,553,800	1.933
8	MR. PUSPARAJ N. & MRS. PUSPARAJ. K	1,255,279	1.561
9	BANK OF CEYLON NO. 1 ACCOUNT	1,016,213	1.264
10	MRS. SARASWATHI V.	742,906	0.924
11	PEOPLE'S LEASING & FINANCE PLC / DON AND DON HOLDINGS (PRIVATE) LIMITED	724,535	0.901
12	Mr. VASUDEVAN . S	552,350	0.687
13	Mr. TIRATHDAS A.	441,227	0.549
14	ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
15	HATTON NATIONAL BANK PLC / ARUNASALAM SITHAMPALAM	386,000	0.480
16	MR. POBRAN B.	350,240	0.436
17	RANSIRI ENTERPRISES (PRIVATE) LIMITED	310,000	0.386
18	MR. DANGAMPOLA G./MRS. DANGAMPOLA N. P.	303,009	0.377
19	MRS. MULJIE. N	291,694	0.363
20	MR. CARIMJEE. Z. G	234,533	0.292

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2020 is 51.844% comprising of 8,146 shareholders
(31st March 2019 - 53.422% comprising of 8,253 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 31ST MARCH 2020 - RS.1,379,698,528.50

The Company is in compliance with Option 5 of Section 7.13.1 (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 31ST MARCH 2020

Names of Directors	No of Shares as at 31st Mar. 2020	%
Mr. Chanaka De Silva	1,733,800	2.156%
Mr. Rohan T. Fernando	Nil	
Mr. T. Bevan Perera	1920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eradj T. Fernando	Nil	
Mr. R. P. Weerasooria	Nil	

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	31-03-2020	31-03-2019
Non-Current Assets	5,697,671	5,558,833
Current Assets	6,374,498	5,933,716
Total Assets	12,072,169	11,492,549
Capital and Reserves	7,797,075	8,014,466
Non-Current Liabilities	1,117,212	1,198,173
Current Liabilities	3,157,881	2,279,910
Total Equity & Liabilities	12,072,169	11,492,549

Summarised Income Statement

	2020 Apr. to Mar.	2019 Apr. to Mar.
Production (MT)	14,680	16,074
Total Sales (MT)	14,443	16,481
Domestic Sales	8,132,525	7,700,342
Export Sales	1,324,057	2,252,940
Total Sales	9,456,582	9,953,282
Cost of Sales	(7,078,022)	(7,603,842)
Gross Profit	2,378,560	2,349,440
Distribution/Administrative Cost	(1,315,926)	(1,243,608)
Finance Cost less income	109,482	107,959
Other Operating Income	40,962	76,441
Pofit BeforeTax	1,213,078	1,290,232
Taxation	(279,279)	(300,985)
Profit for the period	933,799	989,247
Other Comprehensive income/(Expenses)	(3,590)	1,750
Total Comprehensive income	930,209	990,997

KELANI TYRES PLC AND ITS GROUP

Segmenting reporting

1. Segmental Income Statements

Income statement for the period ended 31st Mar. 2020
(all amounts in Sri Lankan Rupees thousands)

	Local sales of tyres	Investment	Vehicle Hiring Income	Adjustments	Group
Revenue					
Local Sales	317,491	-	-	-	317,491
Hiring Income	-		2,724	-	2,724
Tax					
Value Added Tax	(36,997)	-	(318)	-	(37,315)
Nation Building Tax	(2,080)	-	(41)	-	(2,121)
Net Turnover	278,414	-	2,365	-	280,779
Direct expenses					
of production	(252,697)	-	(1,063)		(253,759)
Addministrative and					-
Selling expenses	(64,578)	(32,089)	(656)	-	(97,324)
Dividend received from JV	-	258,000	-	(258,000)	-
Net gain from fair value adjustment on Investment Property	-	39,824	-	-	39,824
Rent Income	-	6,046	-	-	6,046
Other Income	1,389	-	1,114	-	2,504
Interest Cost	(9,173)	-	(37)	-	(9,210)
Interest Income	7,048	-	-	-	7,048
Tax	-	-	-	-	-
Share of Results of JV	-	466,899	-	-	466,899
Net Profit	(39,597)	738,680	1,724	(258,000)	442,806

KELANI TYRES PLC AND ITS GROUP

Segmenting reporting

1. Segmental Income Statements

Income statement for the period ended 31st Mar. 2019

(all amounts in Sri Lankan Rupees thousands)

	Local sales of tyres	Investment	Vehicle Hiring Income	Adjustments	Group
Revenue					
Local Sales	491,534	-	-	-	491,534
Hiring Income	-		4,373	-	4,373
Tax					-
Value Added Tax	(64,113)	-	(570)	-	(64,683)
Turnover Tax	-	-	-	-	-
Nation Building Tax	(4,274)	-	(76)	-	(4,350)
Net Turnover	423,147	-	3,727	-	426,874
Direct expenses					
of production	(388,142)	-	(2,564)		(390,706)
Addministrative and					-
Selling expenses	(61,131)	(28,840)	(384)	-	(90,355)
Other operating expenses	-	-	-	-	-
Dividend received from JV	-	159,320	-	(159,320)	-
Net gain from fair value adjustment on Investment Property	-	24,000	-	-	24,000
Rent Income	-	5,987	-	-	5,987
Other Income	5,206	-	25	-	5,231
Interest Cost	(4,090)	-	(261)	-	(4,351)
Interest Income	13,159	-	-	-	13,159
Tax	-	-	(261)	-	(261)
Share of Results of JV	-	494,624	-	-	494,624
Net Profit	(11,851)	655,091	282	(159,320)	484,202

KELANI TYRES PLC AND ITS GROUP

Segmenting reporting

1. Segmental financial position

Statement of Financial Position as at 31st March 2020
(all amounts in Sri Lankan Rupees thousands)

	Local sales of tyres	Investment	Vehicle Hiring Income	Adjustments	Group
ASSETS					
Non-current assets					
Property, plant and equipment	41,733	-	2,042	(2,565)	41,209
Investment Property	-	439,824	-	-	439,824
Investments in subsidiaries	-	10	-	(10)	-
Investment in JV	-	4,038,145	-	176,193	4,214,338
	<u>41,733</u>	<u>4,477,979</u>	<u>2,042</u>	<u>173,618</u>	<u>4,695,371</u>
Current assets					
Trade and other receivables	333,010	-	1,182	-	334,193
Cash and cash equivalents	192,364	-	1,956	-	194,320
	<u>525,374</u>	<u>-</u>	<u>3,139</u>	<u>-</u>	<u>528,513</u>
Total assets	567,106	4,477,979	5,181	173,618	5,223,884
EQUITY AND LIABILITIES					
Equity attributable to equity holders					
Stated capital	402,000	-	10	(10)	402,000
Other reserve	-	486,636	-	-	486,636
Revaluation reserve	971	-	-	-	971
Retained earnings	610,076	3,411,902	4,921	173,794	4,200,693
Total equity	1,013,047	3,898,538	4,931	173,784	5,090,299
Non - current liabilities					
Borrowings	20,833	-	-	-	20,833
Retirement benefit obligations	6,730	-	-	-	6,730
	<u>27,563</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>27,563</u>
Current liabilities					
Trade and other payables	15,240	-	250	(166)	15,325
Borrowings	10,000	-	-	-	10,000
Bank Overdraft	80,697	-	-	-	80,697
	<u>105,937</u>	<u>-</u>	<u>250</u>	<u>(166)</u>	<u>106,022</u>
Total liabilities	133,500	-	250	(166)	133,585
Total equity and liabilities	1,146,547	3,898,538	5,181	173,618	5,223,884

KELANI TYRES PLC AND ITS GROUP

Segmenting reporting

1. Segmental financial position

Statement of Financial Position as at 31st March. 2019
(all amounts in Sri Lankan Rupees thousands)

	Local sales of tyres	Investment	Vehicle Hiring Income	Adjustments	Group
ASSETS					
Non-current assets					
Property, plant and equipment	50,089	-	3,180	(2,565)	50,704
Investment Property	-	400,000	-	-	400,000
Investments in subsidiaries	-	10	-	(10)	-
Investment in JV	-	4,146,839	-	(139,607)	4,007,232
Receivable from Subsidiary	-	-	-	-	-
	50,089	4,546,849	3,180	(142,182)	4,457,936
Current assets					
Trade and other receivables	443,029	-	340	-	443,369
Income Tax Refund	-	-	360	-	360
Cash and cash equivalents	38,706	-	732	-	39,438
	481,736	-	1,431	-	483,166
Total assets	531,825	4,546,849	4,611	(142,182)	4,941,102
EQUITY AND LIABILITIES					
Equity attributable to equity holders					
Stated capital	402,000	-	10	(10)	402,000
Other reserve	-	486,636	-	-	486,636
Revaluation reserve	971	-	-	-	971
Retained earnings	579,660	3,520,597	3,197	(142,008)	3,961,449
Total equity	982,631	4,007,233	3,207	(142,018)	4,851,056
Non - current liabilities					
Retirement benefit obligations	4,826	-	-	-	4,826
	4,826	-	-	-	4,826
Current liabilities					
Trade and other payables	11,677	-	460	(164)	11,969
Borrowings	-	-	944	-	944
Bank Overdraft	72,307	-	-	-	72,307
	83,984	-	1,404	(164)	85,220
Total liabilities	88,810	-	1,404	(164)	90,046
Total equity and liabilities	1,071,441	4,007,233	4,611	(142,182)	4,941,102